



Time Allowed: 3hrs:30mir

dbrownconsulting – AFM Level 1 Mock Exam

Candidate's Info

Full Name: IBRAHIM HANDU

Location: NIGERIA

Pure Wave Sips

Financial Model from 2024-2028

Modeler Ibrahim Handu
Version Version 1.01

PureWave Sips

Income Statement

Millions for the Year Ended December 31

	2021	2022	2023
Revenue Growth		10.4%	8.6%
COGS (% of revenue)	71.7%	72.8%	72.8%
SG&A (% of revenue)	16.3%	15.5%	15.0%
Revenue	3,513.42	3,877.12	4,212.12
Operating Costs	2,520.43	2,822.49	3,067.68
SG&A	571.39	599.17	630.19
Total Costs	3,091.82	3,421.66	3,697.87
Cost Adjustments - Gain / (Loss)	-7.70	-4.62	83.60
EBITDA	413.91	450.83	597.85
Depreciation	104.61	124.52	138.82
EBIT	309.30	326.31	459.03
Cost adjustments -Gain/(loss)	63.80	68.15	58.19
Net Interest Expense	68.20	62.26	65.01
EBT	177.30	195.91	335.83
Current Taxes	44.55	24.97	27.28
Deferred Income Taxes	18.59	34.87	26.40
Total Income Taxes	63.14	59.84	53.68
Net Income	114.16	136.07	282.15
Preferred Dividend	0.55	0.55	0.55
Net Income to Common	113.61	135.52	281.60

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Cash Flow Statement

Millions for the Year Ended December 31

	<u>2021</u>	<u>2022</u>	<u>2023</u>
Operating Activities			
Net Income	114.16	136.07	282.15
Depreciation	104.61	124.52	138.82
Deferred Income Taxes	18.59	34.87	26.40
Changes in Working Capital	-130.90	-4.95	-92.18
Other	178.09	180.62	266.31
Operating Cash Flow	284.55	471.13	621.50
Investing Activities			
CAPEX	-147.84	-60.17	-213.51
Asset Dispositions	2.20	3.74	11.55
Other	-16.39	-12.43	-16.94
Investing Cash Flow	-162.03	-68.86	-218.90
Financing Activities			
Variable Rate Long Term Debt Issuance / (Repayment)	181.50	137.32	561.00
Fixed Rate Long Term Debt Issuance / (Repayment)	0.00	258.50	-141.35
Preferred Share Issuance / (Buy-Back)	0.00	0.00	0.00
Common Share Issuance / (Buy-Back)	-466.95	-714.12	-760.87
Preferred Share Dividends	0.00	0.00	0.00
Common Share Dividends	-45.98	-49.61	-51.59
Other	-1.98	-2.09	-3.19
Financing Cash Flow	-333.41	-370.00	-396.00
Change in Cash Position	-210.90	32.27	6.60
Beginning Cash	266.64	55.74	88.01
Ending Cash	55.74	88.01	94.61

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Balance Sheet

Millions for the Year Ended December 31

	<u>2021</u>	<u>2022</u>	<u>2023</u>
ASSETS			
Cash and Equivalents	55.74	88.01	94.61
Accounts Receivable	293.26	337.48	339.24
Inventory	585.97	693.22	754.49
Other Current Assets	56.54	67.10	71.83
Total Current Assets	991.52	1,185.81	1,260.17
Net PP&E	566.92	645.65	700.26
Goodwill	127.60	127.49	127.60
Intangibles	241.89	242.66	228.71
Other Long term Assets	191.29	213.95	209.11
Total Long Term Assets	1,127.70	1,229.75	1,265.68
Total Assets	2,119.22	2,415.56	2,525.85
LIABILITIES AND EQUITY			
Accounts Payable	312.45	373.15	357.67
Other Current Liabilities	56.82	68.34	73.21
Total Current Liabilities	369.26	441.49	430.87
Variable Rate Long Term Debt	0.00	0.00	275.00
Fixed Rate Long Term Debt	758.89	919.05	546.26
Deferred Income Taxes	15.40	19.47	31.68
Other Longterm Liabilities	356.40	434.17	404.14
Total Long Term Liabilities	1,130.69	1,372.69	1,257.08
Total Liabilities	1,499.95	1,814.18	1,687.95
Preferred Shares	7.04	7.04	7.04
Common Shares	401.72	409.20	381.04
Retained Earnings	192.94	170.39	420.64
Other Shareholder equity	17.57	14.75	29.18
Shareholder's Equity	619.27	601.38	837.90
Total Liabilities and Equity	2,119.22	2,415.56	2,525.85
	0.00000	0.00000	0.00000

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Summary

BS CHECK: OK

Scenario: Base Case

	constant	Units	Total	Actual 2021A	Actual 2022A	Actual 2023A	Forecast 2024F	Forecast 2025F	Forecast 2026F	Forecast 2027F	Forecast 2028F
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Summary Generator

EBITDA	\$MN		413.91	450.83	597.85	704.40	773.06	852.49	970.76	1,049.73
Growth	%			8.92%	32.61%	17.82%	9.75%	10.28%	13.87%	8.13%
Net Income to Common	\$MN		113.61	135.52	281.60	370.60	404.63	439.73	505.20	544.77
Growth	%			19.29%	107.79%	31.60%	9.18%	8.68%	14.89%	7.83%
Net income Margin	%		3.23%	3.50%	6.69%	8.29%	8.66%	8.90%	9.45%	9.60%
Dupont Analysis										
ROE	%		18.35%	22.53%	33.61%	37.05%	33.10%	28.73%	27.93%	24.21%
Net income Margin	%		3.23%	3.50%	6.69%	8.29%	8.66%	8.90%	9.45%	9.60%
Asset Turnover	Multiples		1.66x	1.61x	1.67x	1.70x	1.74x	1.74x	1.79x	1.66x
Equity Multiplier	Multiples		3.42x	4.02x	3.01x	2.62x	2.20x	1.86x	1.65x	1.52x

Pure Wave Sips

Summary

BS CHECK: OK

Scenario: Base Case

	constant	Units	Total	Actual 2021A	Actual 2022A	Actual 2023A	Forecast 2024F	Forecast 2025F	Forecast 2026F	Forecast 2027F	Forecast 2028F
Summary Analysis Base Case											
EBITDA		\$MN		413.91	450.83	597.85	704.40	773.06	852.49	970.76	1,049.73
Growth		%			8.92%	32.61%	17.82%	9.75%	10.28%	13.87%	8.13%
Net Income to Common		\$MN		113.61	135.52	281.60	370.60	404.63	439.41	504.46	543.38
Growth		%			19.29%	107.79%	31.60%	9.18%	8.60%	14.80%	7.72%
Net income Margin		%		3.23%	3.50%	6.69%	8.29%	8.66%	8.89%	9.44%	9.57%
Dupont Analysis											
ROE		%		18.35%	22.53%	33.61%	37.05%	33.10%	28.72%	27.90%	24.17%
Net income Margin		%		3.23%	3.50%	6.69%	8.29%	8.66%	8.89%	9.44%	9.57%
Asset Turnover		Multiples		1.66x	1.61x	1.67x	1.70x	1.76x	1.78x	1.88x	1.76x
Equity Multiplier		Multiples		3.42x	4.02x	3.01x	2.62x	2.17x	1.81x	1.58x	1.43x

Pure Wave Sips

Summary

BS CHECK: OK

Scenario: Base Case

	constant	Units	Total	Actual 2021A	Actual 2022A	Actual 2023A	Forecast 2024F	Forecast 2025F	Forecast 2026F	Forecast 2027F	Forecast 2028F
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Summary Analysis Best Case

EBITDA	\$MN		413.91	450.83	597.85	730.84	817.06	924.49	1,108.35	1,235.91
Growth	%			8.92%	32.61%	22.25%	11.80%	13.15%	19.89%	11.51%
Net Income to Common	\$MN		113.61	135.52	281.60	387.79	433.23	486.44	594.45	665.38
Growth	%			19.29%	107.79%	37.71%	11.72%	12.28%	22.20%	11.93%
Net income Margin	%		3.23%	3.50%	6.69%	8.63%	9.22%	9.76%	10.86%	11.38%
<u>Dupont Analysis</u>										
ROE	%		18.35%	22.53%	33.61%	38.31%	34.53%	30.50%	30.70%	27.03%
Net income Margin	%		3.23%	3.50%	6.69%	8.63%	9.22%	9.76%	10.86%	11.38%
Asset Turnover	Multiples		1.66x	1.61x	1.67x	1.71x	1.76x	1.77x	1.85x	1.72x
Equity Multiplier	Multiples		3.42x	4.02x	3.01x	2.59x	2.13x	1.77x	1.53x	1.38x

Pure Wave Sips

Summary

BS CHECK: OK

Scenario: Base Case

	constant	Units	Total	Actual 2021A	Actual 2022A	Actual 2023A	Forecast 2024F	Forecast 2025F	Forecast 2026F	Forecast 2027F	Forecast 2028F
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Summary Analysis Worst Case

EBITDA	\$MN		413.91	450.83	597.85	678.07	729.09	780.57	835.95	868.22
Growth	%			8.92%	32.61%	13.42%	7.53%	7.06%	7.09%	3.86%
Net Income to Common	\$MN		113.61	135.52	281.60	353.48	376.05	392.43	416.28	424.44
Growth	%			19.29%	107.79%	25.53%	6.38%	4.36%	6.08%	1.96%
Net income Margin	%		3.23%	3.50%	6.69%	7.96%	8.09%	8.01%	7.97%	7.70%

Dupont Analysis

ROE	%		18.35%	22.53%	33.61%	35.77%	31.59%	26.78%	24.75%	20.82%
Net income Margin	%		3.23%	3.50%	6.69%	7.96%	8.09%	8.01%	7.97%	7.70%
Asset Turnover	Multiples		1.66x	1.61x	1.67x	1.69x	1.76x	1.80x	1.90x	1.82x
Equity Multiplier	Multiples		3.42x	4.02x	3.01x	2.65x	2.21x	1.85x	1.63x	1.49x

Pure Wave Sips

Scenerio

BS CHECK: OK

Scenerio: Base Case

constant	Units	Total	Actual 2021A	Actual 2022A	Actual 2023A	Forecast 2024F	Forecast 2025F	Forecast 2026F	Forecast 2027F	Forecast 2028F
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Scenerios

Scenerio: Base Case	1.00
Base Case	
Best Case	
Worst Case	

Revenue Scenerios

Volume Scenerios

Used in the model	%	3.50%	3.50%	3.50%	3.50%	3.50%
Base Case	%	3.50%	3.50%	3.50%	3.50%	3.50%
Best Case	%	3.85%	3.85%	3.85%	3.85%	3.85%
Worst Case	%	3.15%	3.15%	3.15%	3.15%	3.15%

Pricing Scenerios

Used in the model	%	3.00%	3.00%	3.00%	3.00%	3.00%
Base Case	%	3.00%	3.00%	3.00%	3.00%	3.00%
Best Case	%	3.30%	3.30%	3.30%	3.30%	3.30%
Worst Case	%	2.70%	2.70%	2.70%	2.70%	2.70%

Auxiliary Sales Scenerio

Used in the model	%	2.00%	2.00%	2.00%	2.00%	2.00%
Base Case	%	2.00%	2.00%	2.00%	2.00%	2.00%
Best Case	%	2.20%	2.20%	2.20%	2.20%	2.20%
Worst Case	%	1.80%	1.80%	1.80%	1.80%	1.80%

Pure Wave Sips

Scenerio

BS CHECK: OK

Scenerio: Base Case

constant	Units	Total	Actual 2021A	Actual 2022A	Actual 2023A	Forecast 2024F	Forecast 2025F	Forecast 2026F	Forecast 2027F	Forecast 2028F
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Cost Scenerios

Cost Inflation Scenerio

Used in the model	%	2.50%	2.50%	3.00%	3.50%	3.50%
Base Case	%	2.50%	2.50%	3.00%	3.50%	3.50%
Best Case	%	2.25%	2.25%	2.70%	3.15%	3.15%
Worst Case	%	2.75%	2.75%	3.30%	3.85%	3.85%

Pure Wave Sips
Assumption

BS CHECK: OK

Scenario: Base Case

	constant	Units	Total	Actual 2021A	Actual 2022A	Actual 2023A	Forecast 2024F	Forecast 2025F	Forecast 2026F	Forecast 2027F	Forecast 2028F
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General Assumptions

Days in a year		days		365	365	365	366	365	365	365	366
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Style Guide

Number	1,000.0	Number
Input	1,000.0	Input
Percentage	100.00%	%
Link	1,000.00	Links
Multiples	20.00x	Multiples
Text		Number Text

Revenue Assumptions

Capacity Assumptions

Production Capacity	unit		16,500,000.0	16,500,000.0	17,000,000.0	19,000,000.0	21,500,000.0
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Pricing Assumption

Sales per Unit	\$/unit		240.0
Auxiliary sales	\$MN		454.5

Pure Wave Sips

Assumption

BS CHECK: OK

Scenario: Base Case

	constant	Units	Total	Actual 2021A	Actual 2022A	Actual 2023A	Forecast 2024F	Forecast 2025F	Forecast 2026F	Forecast 2027F	Forecast 2028F
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Cost Assumptions

Variable Cost

Sugar / Sweetener	\$MN					529.2					
Fruit Extracts / Flavors	\$MN					635.0					
Carbon Dioxide 2	\$MN					312.5					
Water	\$MN					423.3					
Citric Acid/Acidulants	\$MN					211.7					

Fixed Cost

Labour	\$MN					446.9					
Utilities	\$MN					199.7					
Maintainancw	\$MN					161.7					
Other overhead	\$MN					142.7					
SG&A	\$MN										550.0

Pure Wave Sips

Assumption

BS CHECK: OK

Scenario: Base Case

	constant	Units	Total	Actual 2021A	Actual 2022A	Actual 2023A	Forecast 2024F	Forecast 2025F	Forecast 2026F	Forecast 2027F	Forecast 2028F
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Capex and Depreciation Assumptions

Addition	\$MN						235.0	280.0	300.0	300.0	300.0
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Depreciation Assumptions (Estimated Useful life)

Straight Line	Method
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Existing Asset	9.0	years
New Asset	12.0	years

Working Capital Assumptions

Days in a year	days	365	365	365	366	365	365	365	366
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Historical Extract

Revenue	\$MN	3,513.4	3,877.1	4,212.1
Operating Costs	\$MN	2,520.4	2,822.5	3,067.7

Balances

Accounts Receivable	\$MN	293.3	337.5	339.2
Inventory	\$MN	586.0	693.2	754.5
Other Current Assets	\$MN	56.5	67.1	71.8
Accounts Payable	\$MN	312.4	373.1	357.7
Other Current Liabilities	\$MN	56.8	68.3	73.2

Days

Accounts Receivable	days	30.5	31.8	29.4	30.5	30.5	30.5	30.5	30.5
Inventory	days	84.9	89.6	89.8	88.1	88.1	88.1	88.1	88.1
Other Current Assets	days	8.2	8.7	8.5	8.5	8.5	8.5	8.5	8.5
Accounts Payable	days	45.2	48.3	42.6	45.4	45.4	45.4	45.4	45.4
Other Current Liabilities	days	8.2	8.8	8.7	8.6	8.6	8.6	8.6	8.6

Pure Wave Sips

Assumption

BS CHECK: OK

Scenario: Base Case

	constant	Units	Total	Actual 2021A	Actual 2022A	Actual 2023A	Forecast 2024F	Forecast 2025F	Forecast 2026F	Forecast 2027F	Forecast 2028F
Income Tax Assumptions											
Corporate tax rate	35.00%	%									
Reduction in EBT		\$MN					36.0	36.0	36.0	36.0	36.0
Debt Assumptions											
Interest Rate											
Fixed Term	4.50%	%									
Variable term	4.35%	%									
Excess cash	1.50%	%									
Amortization											
Fixed Term		\$MN					120.0	120.0	120.0	120.0	66.3
Variable term		\$MN					70.0	70.0	70.0	65.0	0.0
Cushion											
Minimum Cash Balance	5.0	\$MN									
Equity Assumptions											
Preference Shares											
Addition		\$MN					0.0	27.0	0.0	0.0	0.0
Dividend Yield	8.00%	%									
Common Shares											
Addition/(Buyback)		\$MN					-97.0	-88.0	0.0	-75.0	60.0
Dividend Payout	30.00%	%									

Pure Wave Sips
Assumption

BS CHECK: OK

Scenerio: Base Case

	constant	Units	Total	Actual 2021A	Actual 2022A	Actual 2023A	Forecast 2024F	Forecast 2025F	Forecast 2026F	Forecast 2027F	Forecast 2028F
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Other Assumptions

Market Value	2.0	\$/share									
Asset disposition		\$MN					0.0	0.0	0.0	0.0	0.0
Other Operating		\$MN					0.0	0.0	0.0	0.0	0.0
Other Investing		\$MN					0.0	0.0	0.0	0.0	0.0
Other Financing		\$MN					0.0	0.0	0.0	0.0	0.0
Cost Adjustment		\$MN					0.0	0.0	0.0	0.0	0.0

Pure Wave Sips

Schedules

BS CHECK: OK

Scenario: Base Case

	constant	Units	Total	Actual 2021A	Actual 2022A	Actual 2023A	Forecast 2024F	Forecast 2025F	Forecast 2026F	Forecast 2027F	Forecast 2028F
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Revenue Schedules

Volume Growth

Used in the model	%						3.50%	3.50%	3.50%	3.50%	3.50%
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Sales Volume

Revenue	\$MN		3,513.4	3,877.1	4,212.1						
Sales Volume	Units				15,656,750.0	16,204,736.3	16,771,902.0	17,358,918.6	17,966,480.7	18,595,307.6	
Production Capacity	unit					16,500,000.0	16,500,000.0	17,000,000.0	19,000,000.0	21,500,000.0	
Production Volume	Units					16,204,736.3	16,500,000.0	17,000,000.0	17,966,480.7	18,595,307.6	

Price Growth

Used in the model	%						3.00%	3.00%	3.00%	3.00%	3.00%
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Sales Price

Sales per Unit	\$/unit			240.0		247.2	254.6	262.3	270.1	278.2	
Sales Revenue	\$MN					4,005.8	4,201.2	4,458.3	4,853.1	5,173.7	

Auxiliary Sales

Auxiliary Inflation

Used in the model	%						2.00%	2.00%	2.00%	2.00%	2.00%
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Auxiliary sales	\$MN			454.5		463.6	472.9	482.3	492.0	501.8	
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Revenue	\$MN						4,469.4	4,674.0	4,940.6	5,345.1	5,675.5
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Pure Wave Sips

Schedules

BS CHECK: OK

Scenario: Base Case

	constant	Units	Total	Actual 2021A	Actual 2022A	Actual 2023A	Forecast 2024F	Forecast 2025F	Forecast 2026F	Forecast 2027F	Forecast 2028F
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Cost Schedules

Inflation

Used in the model	%	2.50%	2.50%	3.00%	3.50%	3.50%
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Sales Volume

Units	15,656,750.00
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Variable Cost

	\$MN	529.2
Sugar / Sweetener	\$MN	635.0
Fruit Extracts / Flavors	\$MN	312.5
Carbon Dioxide 2	\$MN	423.3
Water	\$MN	211.7
Citric Acid/Acidulants	\$MN	

Variable Cost per unit

	\$	33.8	34.6	35.5	36.6	37.9	39.2
Sugar / Sweetener	\$	40.6	41.6	42.6	43.9	45.4	47.0
Fruit Extracts / Flavors	\$	20.0	20.5	21.0	21.6	22.4	23.1
Carbon Dioxide 2	\$	27.0	27.7	28.4	29.3	30.3	31.3
Water	\$	13.5	13.9	14.2	14.6	15.1	15.7
Citric Acid/Acidulants	\$						

Variable Cost

	\$MN						
Sugar / Sweetener	\$MN	561.4	585.9	621.8	680.1	728.6	
Fruit Extracts / Flavors	\$MN	673.7	703.1	746.1	816.1	874.3	
Carbon Dioxide 2	\$MN	331.5	346.0	367.2	401.6	430.2	
Water	\$MN	449.1	468.7	497.4	544.1	582.8	
Citric Acid/Acidulants	\$MN	224.6	234.4	248.7	272.0	291.4	
Total Variable Cost	\$MN	2,240.2	2,338.1	2,481.2	2,714.1	2,907.4	

Fixed Cost

	\$MN	446.9	458.1	469.6	483.7	500.6	518.1
Labour	\$MN	199.7	204.7	209.8	216.1	223.7	231.5
Utilities	\$MN	161.7	165.7	169.9	175.0	181.1	187.4
Maintainancw	\$MN	142.7	146.2	149.9	154.4	159.8	165.4
Other overhead	\$MN						
Total Fixed Cost		974.8	999.1	1,029.1	1,065.1	1,102.4	

Total Cost	\$MN	3,215.0	3,337.2	3,510.3	3,779.2	4,009.8
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SG&A

SG&A	\$MN	550.0	563.8	577.8	595.2	616.0
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Pure Wave Sips

Schedules

BS CHECK: OK

Scenario: Base Case

	constant	Units	Total	Actual 2021A	Actual 2022A	Actual 2023A	Forecast 2024F	Forecast 2025F	Forecast 2026F	Forecast 2027F	Forecast 2028F
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CAPEX and depreciation Schedule

Net PPE 700.3 \$MN
Existing Asset 9.0 years

Depreciation of exisiting Assets \$MN 77.8 77.8 77.8 77.8 77.8

Depreciation of New Asset

New Asset 12.0 years

Addition \$MN 235.0 280.0 300.0 300.0 300.0

	Years	Addition	2024	2025	2026	2027	2028
	2024	235.0	19.6	19.6	19.6	19.6	19.6
	2025	280.0		23.3	23.3	23.3	23.3
	2026	300.0			25.0	25.0	25.0
	2027	300.0				25.0	25.0
	2028	300.0					25.0
Depreciation of New Assets			19.6	42.9	67.9	92.9	117.9

Depreciation of Assets \$MN 97.4 120.7 145.7 170.7 195.7

Net PPE Balance

Beginning Balance	\$MN		700.3	837.9	997.1	1,151.4	1,280.7
plus Addition	\$MN		235.0	280.0	300.0	300.0	300.0
less Depreciation of Assets	\$MN		97.4	120.7	145.7	170.7	195.7
Closing Balance	\$MN	700.3	837.9	997.1	1,151.4	1,280.7	1,385.0

Pure Wave Sips

Schedules

BS CHECK: OK

Scenario: Base Case

	constant	Units	Total	Actual 2021A	Actual 2022A	Actual 2023A	Forecast 2024F	Forecast 2025F	Forecast 2026F	Forecast 2027F	Forecast 2028F
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Working Capital Schedule

Days in a year	days		365.0	365.0	365.0	366.0	365.0	365.0	365.0	366.0
Days										
Accounts Receivable	days		30.5	31.8	29.4	30.5	30.5	30.5	30.5	30.5
Inventory	days		84.9	89.6	89.8	88.1	88.1	88.1	88.1	88.1
Other Current Assets	days		8.2	8.7	8.5	8.5	8.5	8.5	8.5	8.5
Accounts Payable	days		45.2	48.3	42.6	45.4	45.4	45.4	45.4	45.4
Other Current Liabilities	days		8.2	8.8	8.7	8.6	8.6	8.6	8.6	8.6

Financial Statement Extract

Revenue	\$MN	3,513.4	3,877.1	4,212.1	4,469.4	4,674.0	4,940.6	5,345.1	5,675.5
Operating Costs	\$MN	2,520.4	2,822.5	3,067.7	3,215.0	3,337.2	3,510.3	3,779.2	4,009.8
Balance									
Accounts Receivable	\$MN	293.3	337.5	339.2	373.0	391.1	413.5	447.3	473.7
Inventory	\$MN	586.0	693.2	754.5	773.8	805.4	847.2	912.1	965.1
Other Current Assets	\$MN	56.5	67.1	71.8	74.4	77.4	81.5	87.7	92.8
Current Asset	\$MN	935.8	1,097.8	1,165.6	1,221.2	1,274.0	1,342.1	1,447.1	1,531.6
Accounts Payable	\$MN	312.4	373.1	357.7	398.4	414.7	436.2	469.6	496.9
Other Current Liabilities	\$MN	56.8	68.3	73.2	75.5	78.6	82.6	89.0	94.1
Current Liability	\$MN	369.3	441.5	430.9	473.9	493.2	518.8	558.5	591.0
OWC	\$MN	566.5	656.3	734.7	747.4	780.8	823.3	888.6	940.6
Changes in OWC	\$MN		-89.8	-78.4	-12.7	-33.4	-42.5	-65.2	-52.0

Pure Wave Sips

Schedules

BS CHECK: OK

Scenario: Base Case

	constant	Units	Total	Actual 2021A	Actual 2022A	Actual 2023A	Forecast 2024F	Forecast 2025F	Forecast 2026F	Forecast 2027F	Forecast 2028F
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Tax Schedule

Corporate tax rate 35.00%

EBT	\$MN						571.9	624.2	684.9	785.6	846.5
Reduction in EBT	\$MN						36.0	36.0	36.0	36.0	36.0
Taxable Income	\$MN						535.9	588.2	648.9	749.6	810.5

Tax Expense	\$MN						200.2	218.5	239.7	275.0	296.3
Tax Paid	\$MN						187.6	205.9	227.1	262.4	283.7
Deffered Tax	\$MN						12.6	12.6	12.6	12.6	12.6

Deffered Tax Balance

Beginning Balance	\$MN						31.7	44.3	56.9	69.5	82.1
plus Tax Expense	\$MN						200.2	218.5	239.7	275.0	296.3
less Tax Paid	\$MN						187.6	205.9	227.1	262.4	283.7
Closing Balance	\$MN					31.7	44.3	56.9	69.5	82.1	94.7

Pure Wave Sips

Schedules

BS CHECK: OK

Scenario: Base Case

	constant	Units	Total	Actual 2021A	Actual 2022A	Actual 2023A	Forecast 2024F	Forecast 2025F	Forecast 2026F	Forecast 2027F	Forecast 2028F
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Debt Schedule

Interest Rate

Fixed Term	4.50%	%
Variable term	4.35%	%
Excess cash	1.50%	%

Fixed Term Debt Balance

Beginning Balance	\$MN			546.3	426.3	306.3	186.3	66.26
less Fixed Term	\$MN			120.0	120.0	120.0	120.0	66.3
Closing Balance	\$MN		546.3	426.3	306.3	186.3	66.3	0
Fixed term Interest	\$MN			24.6	19.2	13.8	8.4	3.0

Variable Term Debt Balance

Beginning Balance	\$MN			275.0	205.0	135.0	65.0	0
less Variable term	\$MN			70.0	70.0	70.0	65.0	0.0
Closing Balance	\$MN		275.0	205.0	135.0	65.0	0.0	0
Variable term Interest	\$MN			12.0	8.9	5.9	2.8	0.0

Excess Cash Balance

Beginning Balance	\$MN			94.6	0.0	-147.9	-214.3	-303
plus Change in Cash Position	\$MN			-94.6	-147.9	-66.4	-88.3	231.4
Closing Balance	\$MN		94.6	0.0	-147.9	-214.3	-302.5	-71.1
Excess Cash Interest	\$MN			1.4	0.0	-2.2	-3.2	-4.5

Pure Wave Sips

Schedules

BS CHECK: OK

Scenario: Base Case

	constant	Units	Total	Actual 2021A	Actual 2022A	Actual 2023A	Forecast 2024F	Forecast 2025F	Forecast 2026F	Forecast 2027F	Forecast 2028F
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Revolver

Operating Cash Flow	\$MN						469.0	505.6	561.0	628.7	706.5
Investing Cash Flow	\$MN						-235.0	-280.0	-300.0	-300.0	-300.0
Variable Rate Long Term Debt Issuance	\$MN						-70.0	-70.0	-70.0	-65.0	0.0
Fixed Rate Long Term Debt Issuance / (I	\$MN						-120.0	-120.0	-120.0	-120.0	-66.3
Preferred Share Issuance / (Buy-Back)	\$MN						0.0	27.0	0.0	0.0	0.0
Common Share Issuance / (Buy-Back)	\$MN						-97.0	-88.0	0.0	-75.0	60.0
Preferred Share Dividends	\$MN						-1.1	-1.1	-5.4	-5.4	-5.4
Common Share Dividends	\$MN						-111.2	-121.4	-131.9	-151.6	-163.4
Other	\$MN						0.0	0.0	0.0	0.0	0.0
FCF							-165.3	-147.9	-66.4	-88.3	231.4

Minimum Cash Balance \$MN

Revolving Credit Facility Balance

Beginning Balance	\$MN						0.0	70.6	70.6	70.6	71
plus Revolver Issuance or (Repaymnet)	\$MN						70.6	0.0	0.0	0.0	0.0
Closing Balance	\$MN					0.0	70.6	70.6	70.6	70.6	70.6

Net Interest Income

Fixed term Interest	\$MN						24.6	19.2	13.8	8.4	3.0
Variable term Interest	\$MN						12.0	8.9	5.9	2.8	0.0
Excess Cash Interest	\$MN						1.4	0.0	-2.2	-3.2	-4.5
Net Interest Expense	\$MN						35.1	28.1	21.9	14.4	7.5

Pure Wave Sips

Schedules

BS CHECK: OK

Scenario: Base Case

	constant	Units	Total	Actual 2021A	Actual 2022A	Actual 2023A	Forecast 2024F	Forecast 2025F	Forecast 2026F	Forecast 2027F	Forecast 2028F
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Equity Schedule

Preference Shares Balance

Beginning Balance	\$MN					7.0	7.0	34.0	34.0	34
plus Addition	\$MN					0.0	27.0	0.0	0.0	0.0
Closing Balance	\$MN				7.0	7.0	34.0	34.0	34.0	34.0
Dividend Yield	8.00%	%								
Market Value	2.00	\$/share								
Preference Dividend	\$MN					1.1	1.1	5.4	5.4	5.4

Common Shares Balance

Beginning Balance	\$MN					381.0	284.0	196.0	196.0	121
plus Addition/(Buyback)	\$MN					-97.0	-88.0	0.0	-75.0	60.0
Closing Balance	\$MN				381.0	284.0	196.0	196.0	121.0	181.0
Dividend Payout	30.00%	%								
Net Income to Common	\$MN					370.6	404.6	439.7	505.2	544.8
Common Dividend	\$MN					111.2	121.4	131.9	151.6	163.4
Dividend	\$MN					112.3	122.5	137.4	157.0	168.9

Retained Earnings Balance

Beginning Balance	\$MN					420.6	680.1	963.3	1,271.1	1,625
plus Net Income	\$MN					371.7	405.8	445.2	510.6	550.2
less Dividend	\$MN					112.3	122.5	137.4	157.0	168.9
Closing Balance	\$MN				420.6	680.1	963.3	1,271.1	1,624.8	2,006.1

Pure Wave Sips

Model

BS CHECK: OK

Scenario: Base Case

	constant	Units	Total	Actual 2021A	Actual 2022A	Actual 2023A	Forecast 2024F	Forecast 2025F	Forecast 2026F	Forecast 2027F	Forecast 2028F
Financial Statements											
Income Statement											
Revenue		\$MN		3,513.4	3,877.1	4,212.1	4,469.4	4,674.0	4,940.6	5,345.1	5,675.5
Operating Costs		\$MN		2,520.4	2,822.5	3,067.7	3,215.0	3,337.2	3,510.3	3,779.2	4,009.8
SG&A		\$MN		571.4	599.2	630.2	550.0	563.8	577.8	595.2	616.0
Total Costs		\$MN		3,091.8	3,421.7	3,697.9	3,765.0	3,901.0	4,088.2	4,374.4	4,625.8
Cost Adjustments - Gain / (Loss)		\$MN		-7.7	-4.6	83.6	0.0	0.0	0.0	0.0	0.0
EBITDA		\$MN		413.9	450.8	597.9	704.4	773.1	852.5	970.8	1,049.7
Depreciation		\$MN		104.6	124.5	138.8	97.4	120.7	145.7	170.7	195.7
EBIT		\$MN		309.3	326.3	459.0	607.0	652.3	706.8	800.0	854.0
Cost adjustments -Gain/(loss)		\$MN		63.8	68.1	58.2	0.0	0.0	0.0	0.0	0.0
Net Interest Expense		\$MN		68.2	62.3	65.0	35.1	28.1	21.9	14.4	7.5
EBT		\$MN		177.3	195.9	335.8	571.9	624.2	684.9	785.6	846.5
Current Taxes		\$MN		44.6	25.0	27.3	187.6	205.9	227.1	262.4	283.7
Deferred Income Taxes		\$MN		18.6	34.9	26.4	12.6	12.6	12.6	12.6	12.6
Total Income Taxes		\$MN		63.1	59.8	53.7	200.2	218.5	239.7	275.0	296.3
Net Income		\$MN		114.2	136.1	282.2	371.7	405.8	445.2	510.6	550.2
Preferred Dividend		\$MN		0.6	0.6	0.6	1.1	1.1	5.4	5.4	5.4
Net Income to Common		\$MN		113.6	135.5	281.6	370.6	404.6	439.7	505.2	544.8
EBITDA Margin		\$MN		11.78%	11.63%	14.19%	15.76%	16.54%	17.25%	18.16%	18.50%
Dupont Analysis											
ROE		%		18.35%	22.53%	33.61%	37.05%	33.10%	28.73%	27.93%	24.21%
Net income Margin		%		3.23%	3.50%	6.69%	8.29%	8.66%	8.90%	9.45%	9.60%
Asset Turnover		Multiples		1.66x	1.61x	1.67x	1.70x	1.74x	1.74x	1.79x	1.66x
Equity Multiplier		Multiples		3.42x	4.02x	3.01x	2.62x	2.20x	1.86x	1.65x	1.52x
				18.35%	22.53%	33.61%	37.05%	33.10%	28.73%	27.93%	24.21%

Pure Wave Sips

Model

BS CHECK: OK

Scenario: Base Case

	constant	Units	Total	Actual 2021A	Actual 2022A	Actual 2023A	Forecast 2024F	Forecast 2025F	Forecast 2026F	Forecast 2027F	Forecast 2028F
Cashflow Statement											
Operating Cashflow											
Net Income		\$MN		114.2	136.1	282.2	371.7	405.8	445.2	510.6	550.2
Depreciation		\$MN		104.6	124.5	138.8	97.4	120.7	145.7	170.7	195.7
Deferred Income Taxes		\$MN		18.6	34.9	26.4	12.6	12.6	12.6	12.6	12.6
Changes in Working Capital		\$MN		-130.9	-5.0	-92.2	-12.7	-33.4	-42.5	-65.2	-52.0
Other		\$MN		178.1	180.6	266.3	0.0	0.0	0.0	0.0	0.0
Operating Cash Flow		\$MN		284.5	471.1	621.5	469.0	505.6	561.0	628.7	706.5
Investing Cashflow											
CAPEX		\$MN		-147.8	-60.2	-213.5	-235.0	-280.0	-300.0	-300.0	-300.0
Asset Dispositions		\$MN		2.2	3.7	11.6	0.0	0.0	0.0	0.0	0.0
Other		\$MN		-16.4	-12.4	-16.9	0.0	0.0	0.0	0.0	0.0
Investing Cash Flow		\$MN		-162.0	-68.9	-218.9	-235.0	-280.0	-300.0	-300.0	-300.0
Financing Cashflow											
Revolver Issuance and (repayment)		\$MN		0.0	0.0	0.0	70.6	0.0	0.0	0.0	0.0
Variable Rate Long Term Debt Issuance / (F		\$MN		181.5	137.3	561.0	-70.0	-70.0	-70.0	-65.0	0.0
Fixed Rate Long Term Debt Issuance / (F		\$MN		0.0	258.5	-141.4	-120.0	-120.0	-120.0	-120.0	-66.3
Preferred Share Issuance / (Buy-Back)		\$MN		0.0	0.0	0.0	0.0	27.0	0.0	0.0	0.0
Common Share Issuance / (Buy-Back)		\$MN		-467.0	-714.1	-760.9	-97.0	-88.0	0.0	-75.0	60.0
Preferred Share Dividends		\$MN		0.0	0.0	0.0	-1.1	-1.1	-5.4	-5.4	-5.4
Common Share Dividends		\$MN		-46.0	-49.6	-51.6	-111.2	-121.4	-131.9	-151.6	-163.4
Other		\$MN		-2.0	-2.1	-3.2	0.0	0.0	0.0	0.0	0.0
Financing Cash Flow		\$MN		-333.4	-370.0	-396.0	-328.7	-373.5	-327.4	-417.0	-175.1
Change in Cash Position		\$MN		-210.9	32.3	6.6	-94.6	-147.9	-66.4	-88.3	231.4
Beginning Cash		\$MN		266.6	55.7	88.0	94.6	0.0	-147.9	-214.3	-302.5
Ending Cash		\$MN		55.7	88.0	94.6	0.0	-147.9	-214.3	-302.5	-71.1

Pure Wave Sips

Model

BS CHECK: OK

Scenario: Base Case

	constant	Units	Total	Actual 2021A	Actual 2022A	Actual 2023A	Forecast 2024F	Forecast 2025F	Forecast 2026F	Forecast 2027F	Forecast 2028F
Balance Sheet											
Assets											
Cash and Equivalents		\$MN		55.7	88.0	94.6	0.0	-147.9	-214.3	-302.5	-71.1
Accounts Receivable		\$MN		293.3	337.5	339.2	373.0	391.1	413.5	447.3	473.7
Inventory		\$MN		586.0	693.2	754.5	773.8	805.4	847.2	912.1	965.1
Other Current Assets		\$MN		56.5	67.1	71.8	74.4	77.4	81.5	87.7	92.8
Total Current Assets		\$MN		991.5	1,185.8	1,260.2	1,221.2	1,126.1	1,127.9	1,144.6	1,460.4
Net PP&E		\$MN		566.9	645.6	700.3	837.9	997.1	1,151.4	1,280.7	1,385.0
Goodwill		\$MN		127.6	127.5	127.6	127.6	127.6	127.6	127.6	127.6
Intangibles		\$MN		241.9	242.7	228.7	228.7	228.7	228.7	228.7	228.7
Other Long term Assets		\$MN		191.3	214.0	209.1	209.1	209.1	209.1	209.1	209.1
Total Long Term Assets		\$MN		1,127.7	1,229.7	1,265.7	1,403.3	1,562.6	1,716.8	1,846.1	1,950.4
Total Assets		\$MN		2,119.2	2,415.6	2,525.9	2,624.5	2,688.7	2,844.7	2,990.7	3,410.8
Liabilities & Equity											
Accounts Payable		\$MN		312.4	373.1	357.7	398.4	414.7	436.2	469.6	496.9
Other Current Liabilities		\$MN		56.8	68.3	73.2	75.5	78.6	82.6	89.0	94.1
Total Current Liabilities		\$MN		369.3	441.5	430.9	473.9	493.2	518.8	558.5	591.0
Revolver		\$MN		0.0	0.0	0.0	70.6	70.6	70.6	70.6	70.6
Variable Rate Long Term Debt		\$MN		0.0	0.0	275.0	205.0	135.0	65.0	0.0	0.0
Fixed Rate Long Term Debt		\$MN		758.9	919.1	546.3	426.3	306.3	186.3	66.3	0.0
Deferred Income Taxes		\$MN		15.4	19.5	31.7	44.3	56.9	69.5	82.1	94.7
Other Longterm Liabilities		\$MN		356.4	434.2	404.1	404.1	404.1	404.1	404.1	404.1
Total Long Term Liabilities		\$MN		1,130.7	1,372.7	1,257.1	1,150.3	972.9	795.5	623.1	569.5
Total Liabilities		\$MN		1,500.0	1,814.2	1,688.0	1,624.2	1,466.1	1,314.3	1,181.7	1,160.5
Preferred Shares		\$MN		7.0	7.0	7.0	7.0	34.0	34.0	34.0	34.0
Common Shares		\$MN		401.7	409.2	381.0	284.0	196.0	196.0	121.0	181.0
Retained Earnings		\$MN		192.9	170.4	420.6	680.1	963.3	1,271.1	1,624.8	2,006.1
Other Shareholder equity		\$MN		17.6	14.8	29.2	29.2	29.2	29.2	29.2	29.2
Shareholder's Equity		\$MN		619.3	601.4	837.9	1,000.3	1,222.6	1,530.4	1,809.0	2,250.3
Total Liabilities and Equity		\$MN		2,119.2	2,415.6	2,525.9	2,624.5	2,688.7	2,844.7	2,990.7	3,410.8
BS check			0.00	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0

Pure Wave Sips

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Page28of 28

Sheet Model